

companies that I wanted to short as the tech bubble expanded, but I couldn't do anything because I was running a long-only fund. Also, I wasn't getting paid much, which is typical for a long-only institution. Even though I was probably accounting for as much as 30 percent of the firm's total P&L, I was being paid a trivial amount.

Putting these three things together—the negative impact of large assets on performance, the inability to go short, and the failure to financially benefit from my outperformance—by the middle of 1999, I realized that I wanted to run a hedge fund. However, I didn't want to start my own company and spend half my time being the CEO; I just wanted to be the CIO. So I joined Thames River, which is an umbrella company that provides the support structure for hedge funds. I went on the road in September 2000. Even though for the past six years, I had the best long-only emerging markets track record in the world by a wide margin, we raised only \$20 million.

Why do you think that was?

There were multiple reasons. First, we were in the middle of a bear market. Second, I had only run a long-only fund, so some investors questioned my ability to run a long/short fund. Third, the fund was focused on emerging markets, which at the time were considered to be the Wild West of investing. Fourth, we initially couldn't approach any of my former clients at Barings for legal reasons.

What was the transition like going from long-only manager to long/short hedge fund manager?

We started the fund at the end of September 2000. There were various stocks I liked in Russia. I went only 40 percent net long, but the market was down about 20 percent that month, so I was down about 6 percent. Immediately I had investors calling saying, "You can't lose 6 percent in one month." I said, "Fine, if you don't like it, take your money away." For the second month, we had only \$100,000 of new investment. All the people who said, "We can't come in on day one, but we will come in on day two," ran for the hills because I was down 6 percent in the first month. I stuck to my guns, and then I was up 8 percent in December, and we finished the quarter up 2 percent.